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China Economics | Asia Pacific

June Credit Slowed Further; Faster Fiscal Deployment Awaited

Key Takeaways

- Broad credit growth slowed to 7.5% YoY (7.8% in May; MSe and Consensus: 7.6%), reflecting continued private sector deleveraging and slow public financing.
- This echoes continued weakness in domestic investment, consumption, and softened housing sales in June.
- Greenshoot in public financing: MTD amount has exceeded the same period last year, led by central government bond issuance.
- Outlook: We expect Beijing to accelerate in-budget government bond issuance in 2H to cushion growth downside, partly offsetting continued private credit weakness.

Sluggish June credit a reflection of domestic demand weakness: Broad credit softened on a broad basis for another month, with continued slow public financing and further private sector deleveraging. This was in line with sluggish infrastructure capex, lackluster retail sales, and renewed softness in property sales seen in the [June activity data package](#).

Initial signs of public financing acceleration: MTD net government bond issuance has reached Rmb902bn, exceeding ~Rmb770bn in June and Rmb785bn in the same period last year. The key driver was faster central government bond financing, outweighing still-slow local government bond issuance.

Outlook: Beijing to ramp up government financing in 2H, partly offsetting private credit weakness: We believe the below-target 2Q GDP outcome (4.3%Y) could increase Beijing's sense of urgency for policy fine-tuning, with the July politburo meeting likely to focus on accelerating budget rollout to support AI- and energy-related infrastructure investment. Echoing this, [Premier Li](#) called for stronger counter-cyclical support with better deployment of announced policies at a symposium on economic situation this week. Faster public financing could lift headline credit YoY growth by 40-50bps in 2H, helping mitigate the drag from continued weakness in private credit.

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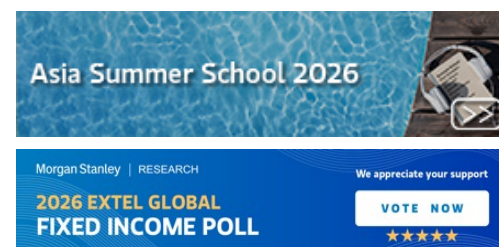
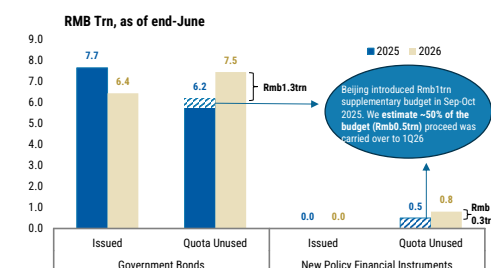
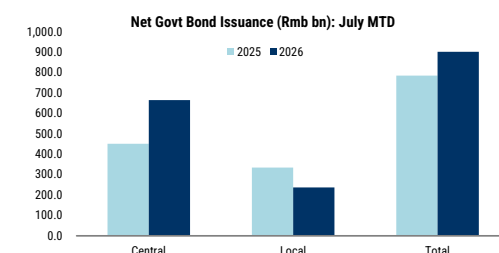


Exhibit 1 : Room for faster public financing in 2H



Source: CEIC, PBoC, Morgan Stanley Research

Exhibit 2 : Pace of government bond issuance accelerated MTD



Source: Wind, Morgan Stanley Research estimates

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